With all its internal problems, Yugoslavia, the other creation of the Paris Peace Conference, was also not a model democracy at the time but it was no worse than any of its neighbours. Italy turned Fascist and was openly hostile towards Yugoslavia, hoping to get control of the eastern Adriatic coast. Hungarian nationalism was radicalised and the country drifted towards the Axis powers. In Austria too, sympathies were with Germany. A dictatorship was imposed in 1933, the Prime Minister was assassinated the following year and the country was annexed by Nazi Germany in 1938, which was welcomed by the population. In the circumstances it faced, the Yugoslav leadership tried to please Hitler without compromising itself too much. It acceded to the wishes of the Axis powers under the condition that the country would not be drawn into the war, which was probably the best Yugoslavia could do. Nobody either could or wanted to offer it a meaningful security guarantee, and the Yugoslav Army was far too weak to stand alone against almost any of its neighbours. 'The Russians were understanding, less so the British […] Stalin was bending over backwards to avoid provoking Germany.'[63] However, the 1941 military coup d'état in Belgrade, which had what appeared to be wide popular support (and British intelligence backing), changed everything and enraged Hitler, who attacked Yugoslavia in April of that year.

Hungarian domestic politics during the inter-war years essentially consisted of a conflict between moderate conservatives and extreme nationalists. The loss (largely to Romania) of about a third of the Hungarian ethnic population and two-thirds of the country's former territory after World War I deeply influenced its foreign policy. Germany seemed the only country to have some understanding of Hungarian grief over these losses so, when the conservatives lost control of the extremists, Hungary turned openly pro-Fascist and joined the war on the side of Germany, regaining parts of Slovakia and Yugoslavia.

Romania greatly benefitted from Hungary being on the 'wrong' side in World War I and received the large province of Transylvania in the peace settlement. In 1923, it adopted a new constitution, boasted to be one of the most democratic in Europe at the time. Economic development was heavily dependent on domestic oil production: at the time Romania was one of the largest oil producers in the world.[64] But like Hungary, on the eve of World War II, Romania turned to the right in the hope that it might regain